Cardinal Infrastructure (CDNL)

A Doubled Top Line and a Broken Margin Promise

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> Cardinal Infrastructure Group delivered the most demanding quarter of its short life as a public company. Revenue rose 114% year over year to $226.9M, with organic growth of 64%, and management raised full-year revenue guidance by $210M. However, the growth arrived without the economics the model of this business promises, as gross margin compressed to 10.8% from 13.9% and adjusted EBITDA margin fell to 12.4% from 18.6%, while the 20% margin target reiterated three months earlier was abandoned and cut to 16-18%. We read the quarter as bearish for the fundamental trajectory even though demand itself remains exceptional, and we note that our framework never underwrote the abandoned target. Our blended target is $38.64, implying +143.5% upside from the reference price.

BUY	$38.64	+143.5%	$15.87
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is debating whether Cardinal is a hyper-growth compounder or a low-margin contractor buying share, while the second quarter answered a narrower question. Demand is not the constraint, because a record $866M backlog, up 35% year over year, settles that argument. The open question is whether a platform built on self-performance can hold its economics while it scales into new markets on subcontracted labor, and the quarter moved that answer in the wrong direction.

EXECUTIVE SUMMARY

Cardinal Infrastructure Group is a heavy civil and site development contractor operating across the Southeast United States, delivering turnkey site work for residential, commercial, industrial, and retail projects, including roadwork, utilities, and land development. The model takes a project from raw land to a pad-ready site under a single contract, which concentrates accountability with Cardinal and, in the logic of the platform, concentrates margin with Cardinal as well. Demand across the footprint is being pulled by population migration into the Southeast, corporate reshoring, and the buildout of manufacturing and data center facilities, and the second quarter showed that pull at full strength.

Revenue of $226.9M grew 114% year over year, with organic growth of 64% doing most of the work, and backlog reached a record $866M, up 35%. Management raised fiscal 2026 revenue guidance to $880-900M from $675-685M, and the $890M midpoint implies growth of roughly 95% over fiscal 2025 revenue of $456M. The cost of that growth, however, was severe. Gross margin fell to 10.8% from 13.9% a year ago, adjusted EBITDA margin fell to 12.4% from 18.6%, and general and administrative expense tripled to $9.0M as the company staffed ahead of its

expansion. Management attributed the compression to subcontractor reliance in new markets, weather disruption, and accelerated corporate investment. Most consequentially, the fiscal 2026 adjusted EBITDA margin target of 20% or better, reiterated firmly one quarter ago, was cut to 16-18%.

Capital allocation in the quarter was as aggressive as the operating expansion. The announced acquisition of Allied Paving for $120M, at 5.5x EBITDA, adds $108M of annual revenue at a 20.3% adjusted EBITDA margin and brings paving in-house in the Atlanta market, which attacks the subcontractor cost problem directly. Allied is the third acquisition of 2026, following closely on the ALGC integration, and it arrives alongside a $319M equity offering that lifted the cash balance to $339M two quarters after the IPO. Operating cash flow of $22.0M year to date, up from $16.3M in the prior year and set against net income of $22.6M and capital expenditure of $34.0M, shows a company still converting earnings into cash while it funds the buildout, although the dilution from the raise is now a permanent feature of the per-share story.

OPERATIONAL SNAPSHOT

$15.87	$226.9M	$866M	12.4%	0.74	$15.87
REF. PRICE	Q2 REVENUE	BACKLOG	ADJ. EBITDA MARGIN	EQUITY BETA	REF. CLOSE

Quarterly figures as reported for the second quarter of fiscal 2026. Reference price as of October 19, 2026.

THE MOAT IS OPERATIONAL AND GEOGRAPHIC

The turnkey model is the core of the moat. A developer or homebuilder hiring Cardinal buys a finished site under one contract, with roadwork, utilities, and land development sequenced by a single accountable counterparty, and that accountability is worth a premium in schedule-critical work. The evidence that the model wins share is in the print itself, with organic growth of 64% in the quarter and a backlog of $866M that extends well beyond the traditional residential base into commercial, industrial, and retail projects. Regional density compounds the advantage, because crews and equipment mobilize across nearby jobs rather than across states.

Verticalization is the second layer, and Allied Paving is its clearest expression. Bringing paving in-house removes a third-party supplier from the cost stack, shortens project timelines, and captures margin that previously leaked to subcontractors, while the investment in the new asphalt plant and the owned equipment fleet works in the same direction. At a 20.3% adjusted EBITDA margin, Allied also lifts the consolidated mix mechanically. A platform that performs more of its own work, in denser geographies, with more of the value chain owned outright, is structurally harder to compete against than a broker of subcontracted capacity.

However, the second quarter exposed the limit of this moat with unusual clarity. The moat defends demand capture far better than it defends margin. In new markets, Cardinal does not yet own the density the model depends on, so it rents capacity from subcontractors at spot prices and absorbs the difference. The result was negative operating leverage at the moment of maximum growth, with gross margin falling to 10.8% from 13.9% while revenue doubled.

Pricing power, the ability to push those costs back to customers mid-contract, remains unproven, and until expansion markets reach self-performance density the moat's economics arrive late to its own growth.

Geography cuts in both directions for the same reason. The Southeast concentration that delivers migration, reshoring, and industrial construction demand also concentrates weather exposure and regional labor costs into a single P&L, and a sequentially deployed project base has little idle capacity to absorb disruption. We therefore grade the moat as real on the demand side, credible on verticalization, and unproven on cost defense, which is precisely the profile of a franchise whose equity story will be decided by execution rather than by market opportunity.

VALUATION

Three scenarios make the valuation range explicit

Our framework values Cardinal on a five-year discounted cash flow across three scenarios built from the raised guidance. The scenarios span the $880-900M fiscal 2026 guide range, with the bear case starting at the $880M low end, the base case at the $890M midpoint, and the bull case at the $900M top end. The bear case compounds revenue at 6% and reaches only an 11.8% EBIT margin by 2030, a path that treats the margin damage of 2026 as structural. The base case compounds at 12% and restores the free cash flow margin to 8.8% by 2030, as expansion markets convert to self-performance and Allied's margin profile lifts the consolidated mix. The bull case compounds at 18% and reaches an 8.7% free cash flow margin on clean integration and sustained Southeast demand, its conversion held in check by the capital intensity of faster growth. Terminal value uses Gordon growth at 2.5% in every scenario and is struck at the terminal-year WACC of 8.69%, with each forecast year discounted at its own rate along the beta maturity path.

The market is pricing a far darker path. At the $15.87 reference price, holding the base-case free cash flow margin flat at 8.8%, the market-implied five-year revenue CAGR is negative 17.1%, below even our bear case. The market, in other words, capitalizes Cardinal as a business in decline, while reported backlog stands at a record $866M and guidance implies revenue at roughly double the fiscal 2025 level. Our disagreement with the market is therefore not about whether the margin promise broke, because it did. Our disagreement is about whether a broken margin guide converts a company growing into an $866M backlog into a company in structural decline.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	6%	9.6%	$33.00	+107.9%
Base	50%	12%	8.8%	$38.00	+139.5%
Bull	25%	18%	8.7%	$45.58	+187.2%

Bear $33.00

The bear outcome materializes if subcontractor dependence persists in the expansion markets,

Base $38.00

The base case assumes expansion markets reach self-performance density across the

Bull $45.58

The bull case requires the verticalization strategy to compound, with paving and

if the reset margin guide of 16-18% is missed again, and if Allied integration consumes management attention without delivering its margin profile. Revenue compounds at 6% and the EBIT margin stalls at 11.8% by 2030, while the free cash flow margin reaches 9.6% only because capital spending is cut hardest and slower growth absorbs the least working capital.

forecast, the reset margin guide is met, and Allied contributes its $108M revenue base at margins near its standalone 20.3%. Revenue compounds at 12% and the free cash flow margin normalizes to 8.8% by 2030.

asphalt capacity lifting consolidated margins while the backlog converts at the current pace and Southeast demand holds. Revenue compounds at 18% and the free cash flow margin reaches 8.7% by 2030, with conversion held in check by the capital spending and working capital that faster growth consumes.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our discount rate is built live from the market rather than fixed at initiation. The cost of equity pairs the spot 10-year Treasury yield with an equity beta that starts at 0.74 and the market-implied equity risk premium solved from the index, while the cost of debt takes the 10-year yield plus 150 basis points, taxed at 21%. Weighted at live capital values, with $197M of debt against $339.1M of cash, the build produces a first-year WACC of 8.17% as of October 20, 2026. The balance sheet sits in a net cash position of $142.1M, so the discount rate is carried almost entirely by the cost of equity, and the starting beta of 0.74 reflects the contracted, backlog-supported character of the revenue base rather than the volatility of the reported margin line.

The beta does not stay at 0.74. It matures linearly across the forecast to 0.93 by fiscal 2030, the beta of Construction Partners (ROAD), the mature heavy civil peer, on the view that a contractor compounding at these rates takes on the risk profile of the established industry as it scales. Each forecast year therefore carries its own discount rate, rising from 8.17% in fiscal 2026 to 8.69% in fiscal 2030, the discount factors compound along that path, and the terminal value is struck at the terminal-year rate. That treatment matters more for Cardinal than for most coverage names, since the outer years carry the valuation and the margin ramp is back-loaded by construction.

FCF margin normalization is the engine

The valuation turns on free cash flow margin, and the model is deliberately austere. The free cash flow margin begins between 0.7% and 2.8% in fiscal 2026 depending on the scenario and converges toward 9% by 2030 as the working

KEY VALUATION PARAMETERS

Revenue base year	**FY2026, $890M guided**
Forecast horizon	**5 years**
Live WACC	**8.17% FY2026 rising to 8.69% FY2030**
Terminal growth	**2.5%**
Equity beta	**0.74 maturing to 0.93 (ROAD)**
Diluted shares	**47.5M**

BUY

over $38.64 blended target

capital absorption of hyper-growth fades, reaching 9.6% in the bear case, 8.8% in the base case, and 8.7% in the bull case. These are contractor economics, and the framework never underwrote the 20% adjusted EBITDA margin target that management promoted and then abandoned. Free cash flow margin and adjusted EBITDA margin are different measures, and the distance between them, depreciation on a growing owned fleet, fleet capital expenditure, and working capital absorbed by triple-digit growth, is precisely where this quarter's disappointment lives.

That austerity cuts both ways. Because the model asks so little of the margin line, a decline of more than 600 basis points in adjusted EBITDA margin does not by itself break the base case. What breaks the base case is a failure of conversion, if the subcontractor mix that produced a 10.8% gross margin becomes the permanent cost structure of the expansion markets. The ramp to 8.8% in the base case assumes self-performance density arrives, and the second quarter pushed that arrival date out.

Mechanics are explicit

Revenue becomes EBIT through the scenario margin path, cash taxes come out at a 10% cash rate, then we add back D&A and subtract capital expenditure and the change in net working capital to reach unlevered free cash flow, which we discount at the live WACC and divide by 47.5M diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta matures from 0.74 to 0.93 (ROAD) across the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on backlog conversion and paving verticalization BUY

The demand side of this business is not in dispute. Backlog of $866M, up 35% year over year, is broad-based, extending beyond residential site work into commercial, industrial, and retail projects, and it gives Cardinal forward visibility that most contractors of its size do not have. The turnkey model is the share-gain mechanism, because builders and developers pay for single-point accountability on schedule-critical site work, and organic growth of 64% in the quarter confirms the model is winning work faster than its markets are growing.

The geographic concentration that concerns generalists is, on the demand side, an advantage. The Southeast continues to absorb population migration, corporate reshoring, and a manufacturing and data center construction cycle that feeds directly into site development volumes, which insulates Cardinal from broader national housing

weakness. However, concentration also means one region's weather and labor markets set the cost line for the entire company, and the second quarter displayed the cost side of the same coin.

The margin repair path runs through verticalization. Allied Paving brings $108M of revenue at a 20.3% adjusted EBITDA margin into a consolidated profile that just printed 12.4%, and it removes a third-party supplier from the Atlanta cost stack. The asphalt plant investment and the owned equipment fleet work in the same direction, and every point of work converted from subcontracted to self-performed narrows the gap between the revenue Cardinal books and the economics Cardinal keeps. The open question is sequencing, because Allied is the third acquisition of 2026 and the ALGC integration is still under way.

Guidance now frames the test. Fiscal 2026 revenue of $880-900M requires the backlog to convert on schedule through the second half, and the adjusted EBITDA margin guide of 16-18% requires the second half to look nothing like the second quarter. Management has spent credibility to buy the room in that guide. Delivering it is the fastest available route to restoring the equity story.

What to monitor

- **Margin delivery against the reset guide** as the second-half adjusted EBITDA margin must rebuild toward 16-18% from the 12.4% second-quarter print.
- **Subcontractor mix in expansion markets** because the share of revenue performed by third parties is the clearest single driver of gross margin from here.
- **Allied Paving integration** covering revenue retention, realized margin on Allied work, and management bandwidth alongside the ALGC integration.
- **Backlog conversion and breadth** as the $866M backlog must convert on schedule while holding its mix beyond residential work.
- **Share count after the raise** because the $319M offering reset the denominator, and further issuance would compound the dilution question.
- **Weather and cost absorption** since sequential deployment converts regional disruption directly into lost fixed-cost absorption.

Key themes

- **Margin collapse contradicts the scale narrative** (New this quarter, deteriorating). Management argued in the first quarter that margins would step up as revenue scaled against fixed costs, and the second quarter delivered the opposite, with revenue accelerating while gross margin fell from 13.9% to 10.8% and G&A tripled to $9.0M. Growth bought with subcontracted labor and equipment rentals in developing markets is share purchased at the expense of profitability.
- **Allied Paving verticalization** (New this quarter, improving). The $120M acquisition at 5.5x EBITDA is the clearest strategic action of the quarter, bringing a 20.3% margin business in-house, shortening project timelines in Atlanta, and supporting the consolidated margin profile immediately.
- **Backlog momentum** (Continuing, improving). Backlog reached an all-time high of $866M, up 35% year over year, with growth extending into commercial, industrial, and retail work alongside the residential base.

- **Southeast secular tailwinds** (Continuing, stable). Population migration, corporate reshoring, and the buildout of manufacturing and data center facilities continue to feed the addressable market and insulate volumes from national housing softness.
- **Weather disruption exposes operational vulnerability** (New this quarter, deteriorating). Management cited intense weather disruption in the Southeast as a drag on the quarter, and a sequentially deployed cost base converts that disruption directly into lost absorption and deferred high-margin work.
- **Dilution from the equity raise** (New this quarter, deteriorating). The cash flow statement shows $319M of proceeds from the equity offering, lifting cash to $339M and funding the acquisition program, at the cost of significant shareholder dilution two quarters after the IPO.

$866M	$226.9M	12.4%	10.8%	$22.0M	$339M
BACKLOG	Q2 REVENUE	ADJ. EBITDA MARGIN	GROSS MARGIN	OPERATING CASH FLOW YTD	CASH BALANCE

METRIC	Q2 / YTD 2026
Revenue (Q2)	$226.9M
Gross margin (Q2)	10.8%
Adjusted EBITDA margin (Q2)	12.4%
Net income (YTD)	$22.6M
Operating cash flow (YTD)	$22.0M
Capital expenditures (YTD)	$34.0M
Free cash flow (YTD)	-$12.0M
Cash and equivalents	$339M

RISK & MOAT MATRIX

The bear case

MARGIN CREDIBILITY

Management reiterated a 20% margin target one quarter before cutting it to 16-18%. A second miss would reprice the equity as a forecasting story rather than an execution story, and the base case ramp would not survive it unchanged.

SUBCONTRACTOR DEPENDENCY

The platform thesis is self-performance, yet the growth markets are being served with rented labor and equipment at spot prices. If self-performance density lags revenue growth, negative operating leverage

M&A DIGESTION

Allied is the third acquisition of 2026, layered onto the ALGC integration. Regional cultures and systems consolidate slowly in heavy civil work, and integration drag lands on the same margin line already under pressure.

becomes structural rather than transitional.

DILUTION AND CAPITAL INTENSITY

A $319M equity raise two quarters after the IPO, alongside capital expenditure of $34.0M year to date, describes growth funded substantially by the share count. Further issuance would test holder patience and compress per-share value creation.

WEATHER AND DEPLOYMENT CONCENTRATION

Sequential project deployment across a single region converts weather into lost cost absorption, as the second quarter demonstrated. The exposure is operational and recurring, not seasonal noise.

WACC AND DURATION SENSITIVITY

The WACC path leans on a beta maturing from 0.74 to 0.93 and a net cash balance sheet. A higher-for-longer rate regime lifts the discount rate against a five-year cash flow ramp whose value sits in the outer years.

The strengths

BACKLOG VISIBILITY

A record $866M backlog, up 35% and broadening by end market, provides the revenue visibility that supports the entire forecast structure.

VERTICALIZATION OPTIONALITY

Allied's 20.3% margin profile, the asphalt plant, and the owned fleet give management levers to recapture margin that a pure subcontractor model does not have.

GEOGRAPHIC DURABILITY

Southeast migration and industrial buildout supply a secular demand floor beneath the cyclical housing exposure.

BALANCE SHEET CAPACITY

Net cash of $142.1M and positive operating cash flow through a hyper-growth year give the company room to fund a margin repair period without financial distress.

Bearish on the quarter, rebuilt on the filing

Our verdict on the second quarter is bearish. A company that doubles revenue while losing 310 basis points of gross margin and more than 600 basis points of adjusted EBITDA margin is not scaling in the way its platform thesis describes, and the decision to abandon a margin target reiterated three months earlier converts an operating miss into a credibility question. On the fundamental trajectory this quarter describes, we would not underwrite the equity.

The rating framework, however, does not grade the quarter. It grades the model against the price, and refreshing the model on the filing moves the targets rather than the rating. The prior bridge carried a fiscal 2026 EBIT margin of 1.9%, a figure the filing contradicts, with $30.3M of operating income already booked in the first half and a reset guide that implies a full-year EBIT margin near 11%. Rebuilt on those actuals and discounted on a beta that matures to the ROAD level of 0.93, the blended target rises to $38.64 against a $15.87 reference price, the bear case at $33.00 still sits 107.9% above the market, and the market-implied revenue trajectory is negative 17.1% against a record $866M backlog. We therefore keep the published Buy rating while stating plainly that the analysis and the rating now pull in opposite directions. The framework supports the rating only because the price already capitalizes deterioration beyond what our bear case assumes.

That truce carries a condition. The base case asks the free cash flow margin to reach 8.8% by 2030, which requires the self-performance conversion this quarter deferred. If the reset margin guide of 16-18% is missed as well, the

margin ramp rather than the multiple becomes the problem, and the targets would fall on reassessment. Until then, the burden of proof sits with management, and the stance the framework supports is patience at a price that already assumes failure.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Allied Paving: repriced on execution risk

Allied Paving is the transaction this quarter will be remembered for, and it deserves a forensic read. Cardinal is paying $120M, at 5.5x EBITDA, for a business generating $108M of annual revenue at a 20.3% adjusted EBITDA margin. On standalone math the price is undemanding, and on strategic math it is precise, because paving is the trade where subcontractor dependence has been costing Cardinal the most. Bringing it in-house in the Atlanta market removes a supplier's margin from the cost stack, shortens project timelines, and gives the turnkey platform direct control over the most schedule-sensitive phase of site work.

Set against the legacy model, the acquisition is both a remedy and an admission. The turnkey platform was sold on self-performance converting scale into margin, yet the second quarter showed the platform running in reverse in its expansion markets, with growth carried by subcontracted labor and rented equipment while owned infrastructure was still being built. Allied accelerates the arrival of the model Cardinal describes, in one market, at the cost of integration work that management must now perform in public, with the ALGC integration still in progress and a third deal team running.

The execution question is therefore sequencing rather than strategy. Allied's margin profile only helps the consolidated print if its revenue is retained, its crews are held, and its work is layered into Cardinal's backlog without the cultural friction that regional acquisitions in heavy civil work reliably produce. The coming quarters will show the realized margin on Allied work inside the consolidated gross margin line, and that single data series will validate or indict the verticalization strategy more efficiently than any guidance management offers.

Why the growth numbers disappointed

- Gross margin fell to 10.8% from 13.9% even as revenue doubled, the signature of growth bought with subcontracted capacity.
- General and administrative expense tripled to $9.0M as corporate infrastructure was built ahead of the markets it serves.
- The 20% margin target, reiterated in the prior quarter, was cut to 16-18%, repricing management credibility alongside the guide.
- Weather disruption struck a sequentially deployed cost base, exposing how little absorption cushion the expansion model carries.

Our read: margin normalization delayed, not demand lost. The backlog, the guidance raise, and the Allied acquisition all say the franchise is winning its market, while the income statement says the winnings are being

spent as fast as they arrive. Whether the spend converts into self-performed capacity, and therefore into margin, is the question the next two quarters answer.